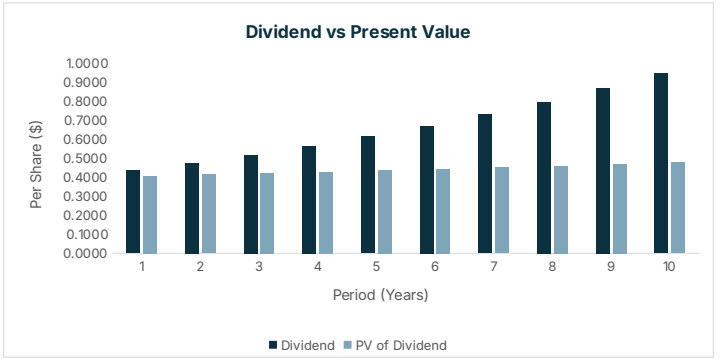
Summary	
Stock Name	**Chemo Cap Corporation**
Current Price :	$23.37
Value of Stock :	$28.26
State :	**Undervalued**

Assumption	
# of Years	10
Short Term Growth Rate (Gs)	9.00%
Long Term Growth Rate (Gl)	5.00%
Current Dividend (Do)	$0.40
Price	$23.37
Required Return on Equity (r)	7.10%

Model

Period	Dividend	PV of Dividend	PV of Terminal Value	Discount Factor	Cumulative PV
1	0.4360	0.4071		0.9337	0.4071
2	0.4752	0.4143		0.8718	0.8214
3	0.5180	0.4217		0.8140	1.2431
4	0.5646	0.4291		0.7600	1.6722
5	0.6154	0.4368		0.7097	2.1090
6	0.6708	0.4445		0.6626	2.5535
7	0.7312	0.4524		0.6187	3.0059
8	0.7970	0.4604		0.5777	3.4663
9	0.8688	0.4686		0.5394	3.9349
10	0.9469	0.4769		0.5036	4.4118
		$4.4118	**$23.8452**		

Valuation Analysis		
PV of Explicit Forecast	$4.41	15.6%
PV of Terminal Value	$23.85	84.4%
Intrinsic Value per Share	**$28.26**	**100.0%**
Upside / (Downside) vs Market Price	20.9%	
Margin of Safety	17.3%	
Forward Dividend Yield (D1 / Price)	1.9%	
Terminal Value at Year 10 (undiscounted)	$47.35	
Implied Terminal Multiple (Yr-10 Dividend)	50.0x	
Yr-10 Terminal Value Priced In by Market	**$37.64**	
Long-Term Growth Implied by Market Price	**4.47%**	

Sensitivity: Intrinsic Value ($) — Required Return vs Long-Term Growth

Gl \ r	6.60%	6.85%	7.10%	7.35%	7.60%
4.50%	$29.40	$26.18	$23.58	$21.44	$19.64
4.75%	$32.83	$28.82	$25.67	$23.13	$21.03
5.00%	$37.33	$32.18	**$28.26**	$25.17	$22.68
5.25%	$43.49	$36.58	$31.54	$27.71	$24.68
5.50%	$52.46	$42.62	$35.86	$30.92	$27.17